

and fund of funds—to actively beat the market. In increasing order of difficulty:

Stocks: You must pick the stocks that beat the market.

Mutual funds: You must pick the guy that picks the stocks that beat the market.

Hedge funds: You must pick the guy that picks the trader that picks the stocks that beat the market.

Fund of funds: You must pick the guy that picks the guys that pick the traders that pick the stocks that beat the market.

And so on.^{[245](#)}

This is cheeky, but true. Each of these active-management strategies requires an increasingly rare skill set and rising degree of luck higher than the preceding investment vehicles on our list.

We can apply this logic to other asset classes. It is a little easier for bond pickers, as simply eliminating the least attractive credit risks in fixed income allows an active bond manager to beat their index. There are 3,500 US equities, but almost 4 million different bonds, so a negative screen works well here. Picking the bonds that perform better than the fixed income benchmark—the Bloomberg Aggregate Bond Index (“the Agg”)—has the best odds in all of active management.

It gets more complicated when we get into the alternatives space. Instead of a known set of data for each potential investment, private companies share what they wish to—or not. There are no SEC regulations for timeliness of disclosures or financial reporting, short of “No fraud, please.” This creates information inefficiencies, which means that *someone* is likely to identify a market-beating strategy. But figuring out who that is in advance is difficult; finding a manager whose strategy is durable and long-lasting after you identify them is even harder.

Technical digression: Much of the value in private equity and credit comes